Trading Psychology

Misconceptions About Trading	The Truth About Trading
• The market is rigged • ***Easy*** to double your money • You need to trade every day - • 24hrs Hard to comprehend • Trading is like Gambling • You need to an Economics • degree The higher the leverage the better	• There is no holy grail. • You won't get rich quick but you can make money • fast You need money to make money • You don't need to know everything • You need self discipline • Account management is more important than a profitable strategy

Avoiding Paralysis by Analysis

To consistently secure profits you only need to know three things:

1. How to develop & apply a technical edge
2. How to manage your money
3. How to manage your emotions

I have taught you the first two things you need to know along with the resources to become the best at them. The third is going to be up to you. However, I will point you in the right direction and all you need to do is walk the path righteously.

Mass psychology in financial markets is the study of how the emotions and behavior of large groups of people can impact financial markets. Financial markets are complex systems that are influenced by a variety of factors, including economic fundamentals, geopolitical events, and investor sentiment.

Investor sentiment refers to the collective attitudes and emotions of market participants, including their optimism or pessimism about the future direction of markets. This sentiment can drive trends and create patterns in financial markets, such as bull or bear markets, bubbles, and crashes.

One of the key drivers of mass psychology in financial markets is the concept of herd behavior. This refers to the tendency of individuals to follow the actions of a larger group, rather than making decisions based on their own independent analysis. This behavior can be driven by a desire to avoid being left behind or to benefit from the perceived wisdom of the crowd.

Another important aspect of mass psychology in financial markets is the role of emotions such as fear and greed. When investors become overly fearful, they may sell their holdings in large numbers, which can lead to market declines. Similarly, when investors become overly greedy, they may buy into overvalued assets, leading to market bubbles.

Mass psychology can also be influenced by the media and other sources of information, which can create and reinforce narratives about the direction of financial markets. These narratives can create self-fulfilling prophecies, as investors begin to act on the basis of the information they receive, leading to further market movements in the same direction.

Overall, mass psychology is an important factor to consider when analyzing financial markets, as it can play a significant role in driving market movements and trends. Understanding the emotions and behavior of market participants can be valuable for making informed investment decisions.

Managing your emotions is something everyone will experience differently. Often times, you will become your own worst enemy from your impulsiveness hopeful desire to be correct . Our egos want to be stroked and validated because we want to prove ourselves right. So, It is up to you evaluate your self during periods of drawdowns and profit taking. Journal the reasons behind your trades and how you feel before and after every trade, even if they are weeks to months apart. Identify your strengths and your weaknesses while being honest with yourself for an in-depth perception behind your trades. The best thing you can do for yourself is to learn to understand yourself as a trader and pick a trading style that is right for you.

The majority of traders believe you must completely detach yourself from your emotions to truly be successful in the financial markets. Unfortunately, that is not naturally impossible but some of your emotions actually help improve your trading decisions. In this lesson, you will learn about some of the psychological biases that affect your trading results and what you can do to overcome them.

FOMO - The Fear of missing out is a very common emotion in any financial market.

FUD - Fear Uncertainty and Doubt will cause you I miss 100% of the opportunities in the market if you allow it to creep in and settle in your analysis. "*Just remember that the FUD can't withstand it when you use proper risk management.*"

Overconfidence - A overconfident bias affects your perception on the quality your analysis, and your ability to execute on that analysis. Overconfident tendencies will cause you to trade too often with over leveraged positions that will wipe out your account in a few trades or less. If you find yourself jumping right back into the same trade you have just been stopped out of not because there was another entry opportunity but because you can't handle being wrong, then you need to make note of that and be aware of those tendencies when they start to emerge. *The best way to overcome this bias is to establish a strict set of risk management rules that covers how many trades you should take in a day, how much of your capital you are willing to risk on any one trade. By doing this, you can spread your risk out evenly over your portfolio.*

Anchoring - A anchoring bias is expecting the trend to run forever. The truth is... currency pairs will always fluctuate and they often fluctuate more then they trend. They best way to avoid being anchored to a specific outcome is to always use the triple screen technique. ***The triple screen technique*** grants you the ability to broaden your perspective on price action through several timeframes which will allow you to align your entries and exits leaving far less money on the table.

> **Applying your fundamentals & technical together is the best approach to the foreign exchange market.**